July 27, 2026
EQUITY RESEARCH | COMPANY UPDATE
LANGSTON'S

Palantir Technologies Inc.

PLTR NYSE

Hold	**$128.67** ▲ 4.68%	12M Price Target **$140.00**	52-Week Range $106.37 – $207.52	Market Cap $308.46B

PLTR: Earnings Setup Battle — Bulls vs Bears Ahead of Aug 4

WHAT HAPPENED

- Stock bounced 4.7% today after a rough couple of sessions — Oppenheimer put out a note saying Q2 (reported Aug 4) will likely beat AND management will raise full-year guidance. That's the bull setup. Meanwhile Motley Fool is out with the opposite call — that PLTR hits a new low after earnings because expectations are just too high.
- Bigger picture: Nvidia and the big tech names launched an "AI Defense Alliance" after the OpenAI hack — this is directly PLTR's sandbox. Government AI security is becoming THE story, and PLTR is the incumbent.

WHY IT MATTERS

Here's what today's move really means: the stock is trading at 22% of its 52-week range ($106-$207), meaning it's closer to the year's lows than the highs — so a lot of froth has already come out ahead of the Aug 4 earnings print. That's actually setting up an asymmetric bet: if they beat and raise (Oppenheimer's call), you get a violent snapback because positioning is cautious. If they merely meet, the stock probably drifts because at 200x forward earnings — meaning investors are paying $200 for every $1 of profit — you need a beat to justify the price. The insider selling by Director Alexander Moore ($2.1M dumped mid-July at $133-136) is a yellow flag but not a red one — directors sell for lots of reasons, but the timing right before earnings is worth noting.

POLICY & POLITICAL WATCH

The huge tailwind here is the "One Big Beautiful Bill" defense allocations and the ongoing DoD software modernization push — PLTR's Maven Smart System contract keeps expanding and the Army's TITAN program is scaling. Watch for the FY2027 defense appropriations markup this fall, where AI/software line items are expected to grow double-digits — that's a direct pipeline for PLTR. The wildcard is the Trump administration's continued push to consolidate federal AI procurement, which favors incumbents like PLTR who already have accreditation (FedRAMP High, IL5/IL6) — smaller AI competitors would need years to catch up on compliance, meaning this regulatory moat gets deeper, not shallower.

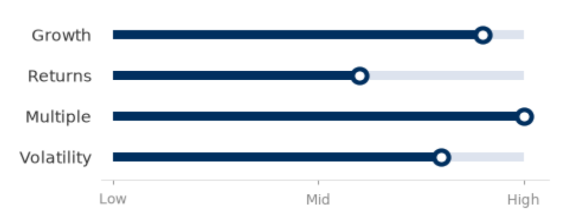
IS IT EXPENSIVE?

Let's be honest — this stock is priced like it's going to be perfect for the next decade. At ~200x forward earnings and roughly 70x forward revenue (investors paying $70 for every $1 of sales), it's the most expensive large-cap software name out there — for context, Microsoft trades around 12x revenue. The only way this valuation works is if revenue growth stays above 40% for years AND margins keep expanding — which is possible given the government contract flywheel, but leaves zero room for a stumble.

Key Data

Price (USD)	**$128.67**
12M Price Target	**$140.00**
Upside / (Downside)	**+8.8%**
Market Cap	**$308.46B**
FY2026E Revenue	**$4,250M**
FY2027E Revenue	**$5,600M**
FY2026E EPS	**$0.62**
FY2027E EPS	**$0.85**
Fwd P/E	**207.5x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

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PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$155.00**	$135.00	**$108.00**
6 Months	**$180.00**	$140.00	**$95.00**
1 Year	**$210.00**	$145.00	**$85.00**
2 Years	**$260.00**	$165.00	**$75.00**
5 Years	**$380.00**	$220.00	**$90.00**
10 Years	**$600.00**	$320.00	**$110.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services (+2.88%) and Financials (+2.01%) led today — broad risk-on tape with oil falling (easing inflation worry). AI/defense names getting a bid from the Nvidia-led "AI Defense Alliance" news.

COOLING OFF: Consumer Discretionary is down 3.95% on the week — signal that consumers are getting squeezed, which reinforces the "government spending is the safer growth story" rotation.

ROTATION WATCH: Money is rotating from consumer-facing tech toward AI-infrastructure and defense-adjacent names. That's a direct tailwind for PLTR because it sits at the intersection of both.

RELATED PLAY: If you like the PLTR thesis but don't want to pay 200x earnings, look at the picks-and-shovels around it — data center REITs (DLR, EQIX) and defense-tech smaller caps benefit from the same federal AI spending wave without the nosebleed multiple.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Leading the AI Defense Alliance announcement — they're becoming the coordinator of the AI-national-security ecosystem, which is a huge new moat.
- ANET (Arista Networks): AI networking pure-play — every AI data center needs their gear, and the federal AI buildout benefits them directly.

PLTR CONTEXT: PLTR is LAGGING its AI peer group this month (down from $170s to $128) while NVDA and others have held up better. That's either a warning (something's wrong at PLTR specifically) or an opportunity (it's the cheap one in a group that's been on fire). Earnings tells us which.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio (small — it's volatile)

Entry Points: $115-120 on pullbacks; avoid chasing above $135 pre-earnings

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth decelerates below 30% YoY or US gov commercial contract wins slow

Hedging: Buy protective puts into Aug 4 earnings or pair with short position in a richer-multiple AI peer